

valuations of the companies determine whether promoters are in the much-hyped billionaire lists or not, promoters feel compelled to shore up share prices to keep their ranking intact. Explaining the downside of such a move, Ajay Bagga, CEO of Lotus India Asset Management Company, says: "Rather than use free reserves to fund new projects, companies are now opting for the buy-back route to support share prices."

In fact, till last year, there have been several examples of companies that have announced buy-backs but have never followed it up with actual purchases. In 2001, Reliance Industries announced a buy-back, but not a single share had been bought when the offer closed. Similarly, on June 21, 2004, Reliance Energy (renamed as Reliance Infrastructure) announced a buy-back but bought



SANJAY JAIN
HEAD, EQUITY MARKETS, JM FINANCIAL

"Companies now have an obligation to complete the buy-back after the announcement."



LALIT JALAN
CEO, RELIANCE INFRASTRUCTURE

"Things could have been worse if the company had not stepped in with the buy-back."

no shares till the buy-back window closed in June 2005. Jalan explains: "If the share price moves above the maximum price set, then the company cannot buy back its shares anyway." That maybe so but in many cases companies simply give up the ghost when the market is too volatile as the objective of shoring up prices is not achieved.

Regulations are now more stringent and the bluffing window has now been partially shut down. SEBI and stock exchanges now mandate that companies give monthly updates of buy-back plans. So this time around, companies may well have to cough up the money and buy their own shares. Says Sanjay Jain, head of capital markets at JM Financial: "Today, companies are under an obligation to buy back shares and complete the procedure if the price continues to be below the maximum set by the company."

That is good news but investors need to distinguish between avarice and corporate altruism. With high investor awareness, shareholders often see buy-backs as a trigger for an exit from a company when they feel it is a ramping-up tactic and not part of a long-term strategy to improve earnings.

What investors need to watch out for is the pedigree of the company, its plans and the amount of money it is willing to put on the table for its buy-back plans. If a company is only shelling out a few crores, the writing is clearly on the wall that the intent is to boost investor sentiment. Warns Amar Ambani, vice-president of research at India Infoline: "There may be some companies which are driven by other considerations because even a small buy-back in terms of cash outflow can have a big impact on share prices."

According to Bagga, in the long run, share buy-backs have seldom proved to be in the shareholders' interest. In a growth economy like India which is marked by capital scarcity, a buy-back means returning capital to investors and is like shutting the door on the face of opportunity, just to shore up the stock price. ■

HYPE STREET Select companies that have bought back 25 per cent or less of target amount

Company	Offer Opening	Offer Closing	Target*	Success (%)
RIL	July 2001	June 2002	Rs 1,100 cr	0.00
Sirpur Paper Mills	Aug 2002	Jan 2003	Rs 7 cr	0.00
SRF Polymers	Aug 2002	Oct 2002	Rs 3.39 cr	0.00
Solitaire Mach. Tools	Oct 2002	June 2003	Rs 0.95 cr	0.00
Reliance Energy	June 2004	June 2005	Rs 350 cr	0.00
Fine-Line Circuits	Oct 2004	Aug 2005	Rs 1.2 cr	0.00
ETC Networks	May 2005	Apr 2006	Rs 6.16 cr	0.00
Polaris Software	June 2005	Nov 2005	Rs 49 cr	0.00
ICI India	Sept 2006	Sept 2007	Rs 177.96 cr	0.00
Berger Paints	May 2005	Apr 2006	Rs 18.59 cr	0.14
Avery India	June 2004	Dec 2004	Rs 5.36 cr	0.54
SRF	July 2006	Sept 2006	Rs 35 cr	0.91
OCL India	Oct 2001	Jan 2002	Rs 10 cr	3.59
RIL	Jan 2005	Aug 2005	Rs 2,999 cr	4.99
Exide Industries	Jan 2002	Dec 2002	Rs 25.17 cr	10.33
Bombay Dyeing	Nov 2002	Aug 2003	Rs 31.98 cr	10.44
Bombay Dyeing	Sept 2001	July 2002	Rs 61.5 cr	12.09
Kesoram	Jan 2003	Sept 2003	Rs 18.5 cr	12.35
Hindalco	Feb 2002	July 2002	Rs 428.2 cr	13.02
Sun Pharma	March 2003	Oct 2003	Rs 150 cr	15.25

*Funds allocated for the buy-back

Source: Prime Database



Graphic by PRASHANT CHAUDHARY